Economics

February 12, 2026

Existing Home Sales Fall Back in January

Poor Weather Weighs on Resales to Start the Year

Economic Indicator

Economist(s)

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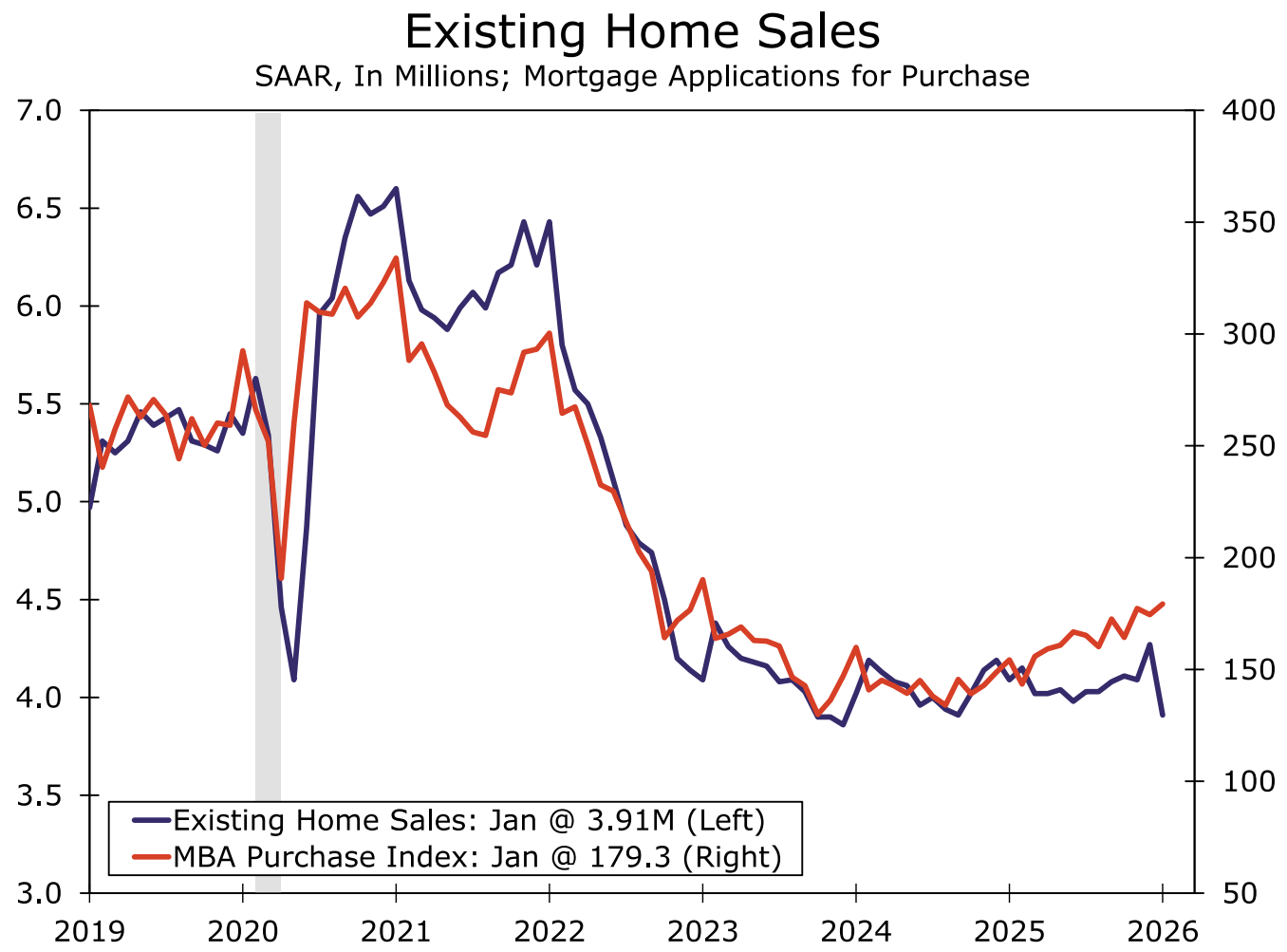
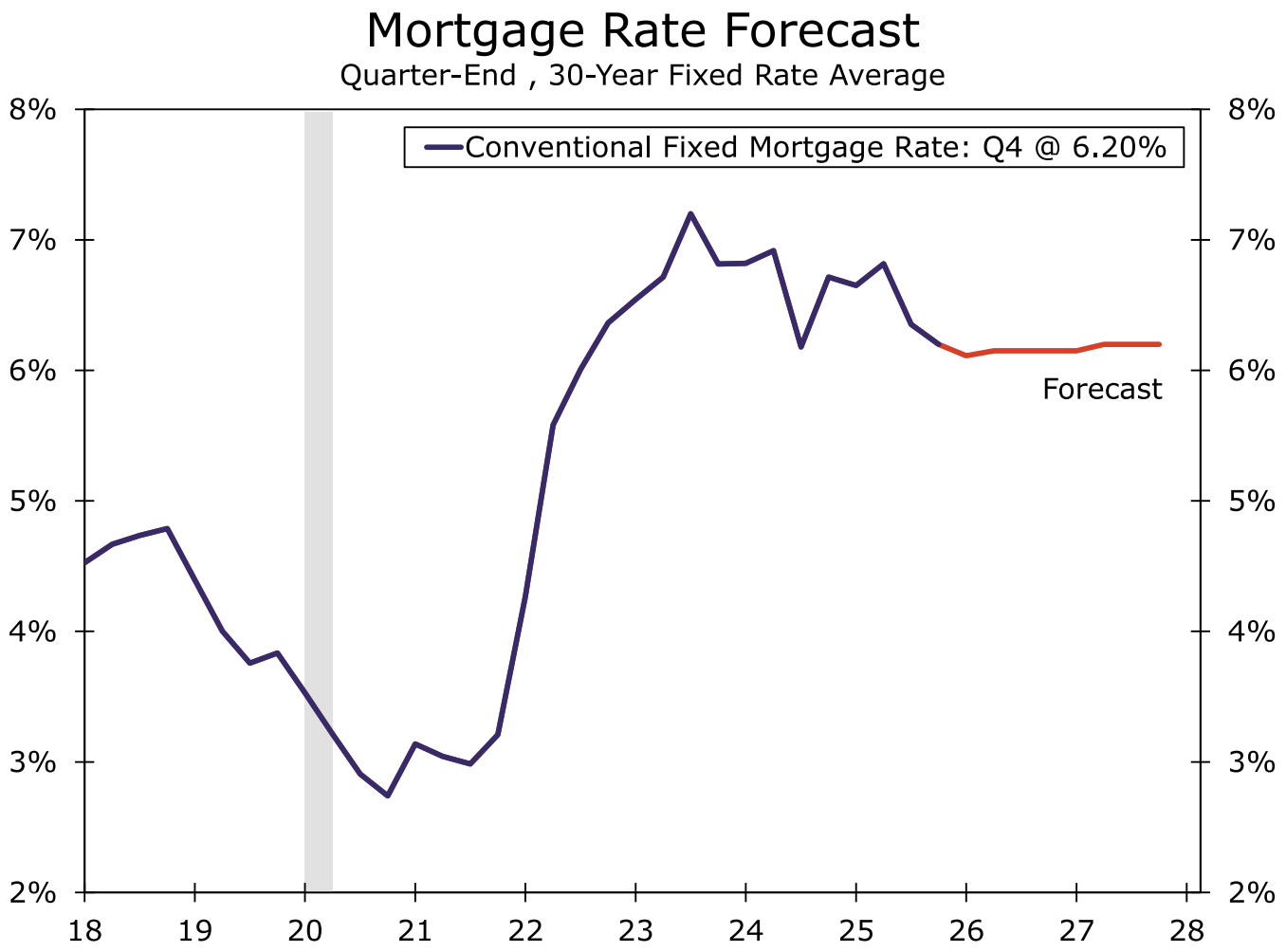
Summary

Affordability Still a Significant Constraint Despite Recent Improvements

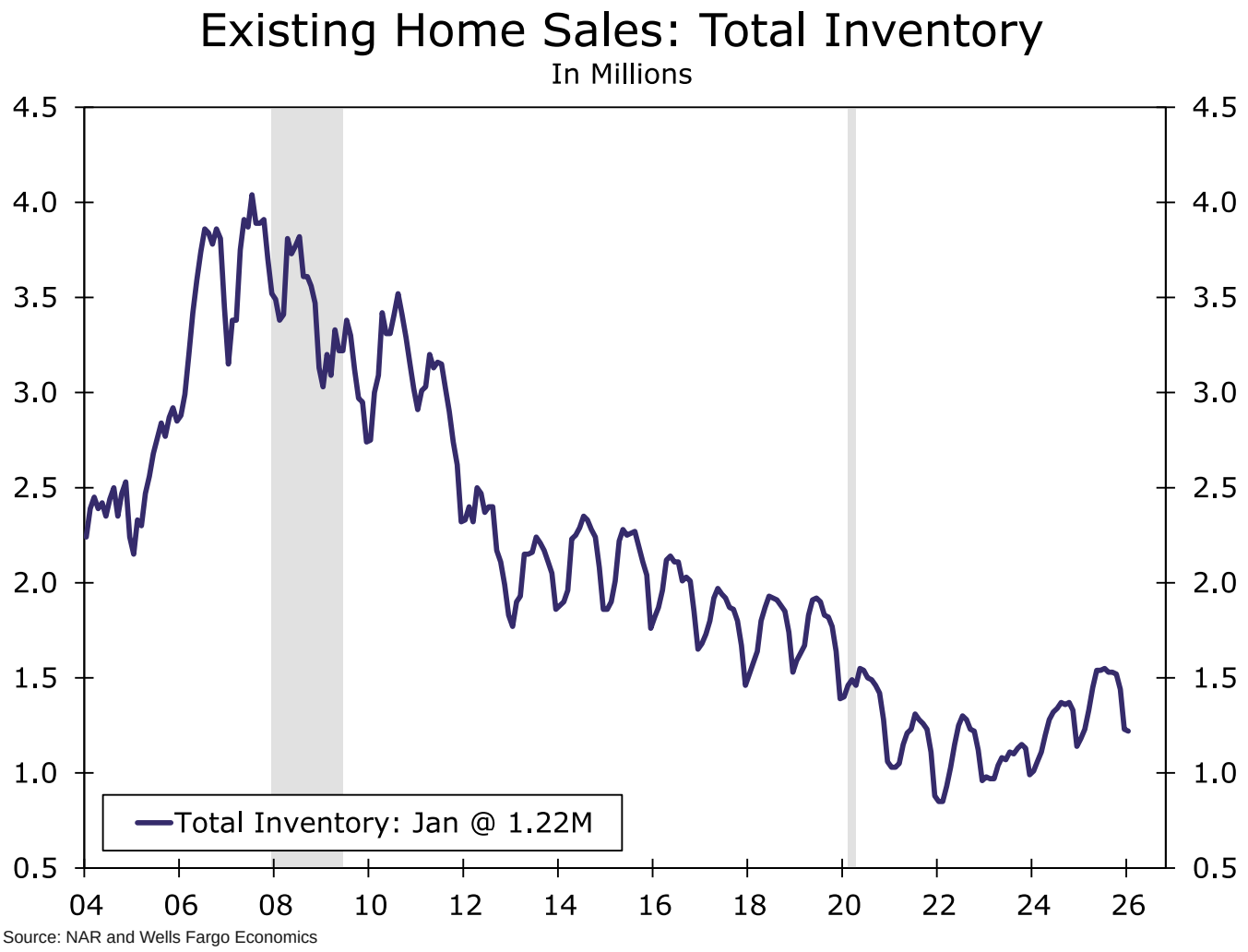
- Existing home sales fell 8.4% to 3.91 million unit pace in January. The monthly drop in part looks owed to poor weather across much of the nation which likely discouraged activity.
- Beyond the monthly volatility, the trend in home sales looks to be gradually improving. Mortgage purchase applications continue to slowly glide higher, suggesting a recovery from January's drop over the coming months.
- The recent uptrend in resales has been driven primarily by lower mortgage rates. Average 30-year mortgage rates have declined to 6.1% as of the first week of February from roughly 7% at the start of 2025. However, rates have essentially moved sideways so far in 2026. We do not expect mortgage rates to fall much further and expect a range between 6.10%-6.20% to prevail over the next several years.
- Still, the roughly 80 bps reduction in financing costs has helped improve affordability conditions around the margins.
- Easing home price appreciation is another support. Median prices were up just 0.9% in January, much more modest than in recent years.
- Low supply is still keeping home price appreciation in positive territory, however. Unsold inventory was 1.22 million in January, down 0.8% over the month. Inventory is up 3.4% over the past year, but availability no longer appears to be increasing rapidly and is still far below pre-pandemic averages, implying moderate home price appreciation ahead.
- All told, we continue to anticipate resales to post only modest growth (off a very low level) over the next few months as slightly lower mortgage rates, easing home price appreciation and slightly better income growth improve affordability around the margins. A meaningful improvement in affordability (and return to a strong run-rate on sales) still looks far off in the distance.

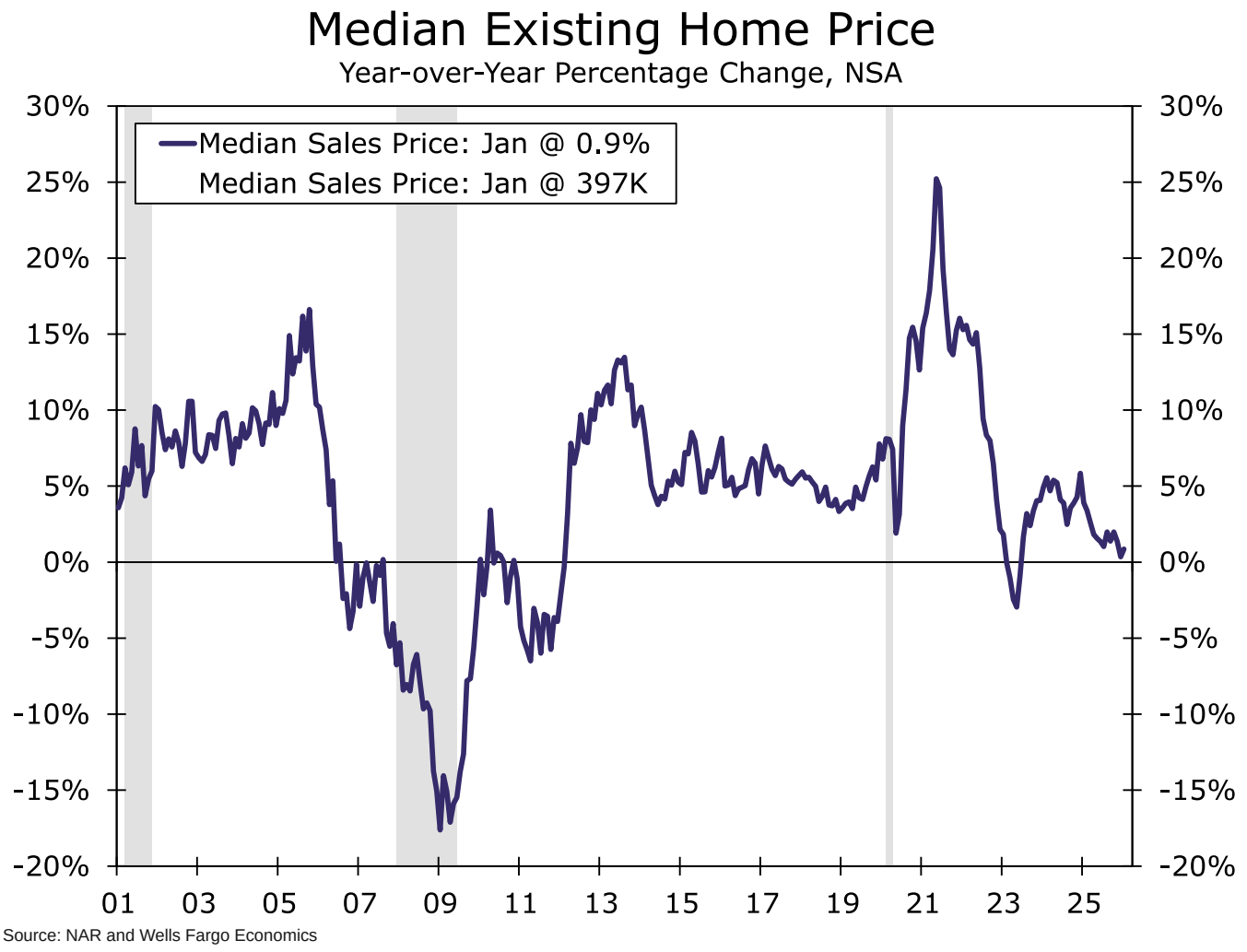


Source: NAR, MBA and Wells Fargo Economics



Source: Freddie Mac and Wells Fargo Economics


Existing Home Sales: Total Inventory
In Millions
4.5
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
Total Inventory: Jan @ 1.22M
04
06
08
10
12
14
16
18
20
22
24
26
Source: NAR and Wells Fargo Economics


Median Existing Home Price
Year-over-Year Percentage Change, NSA
30%
25%
20%
15%
10%
5%
0%
-5%
-10%
-15%
-20%
Median Sales Price: Jan @ 0.9%
Median Sales Price: Jan @ 397K
01
03
05
07
09
11
13
15
17
19
21
23
25
Source: NAR and Wells Fargo Economics

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All estimates/forecasts are as of 2/12/2026 unless otherwise stated. 2/12/2026 11:19:57 EST.

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